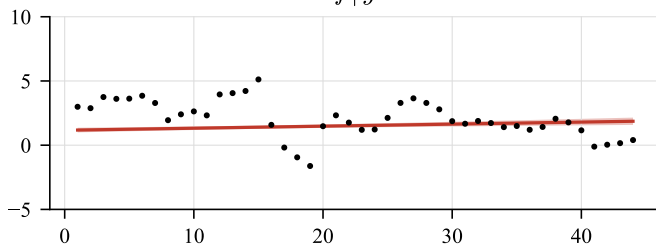
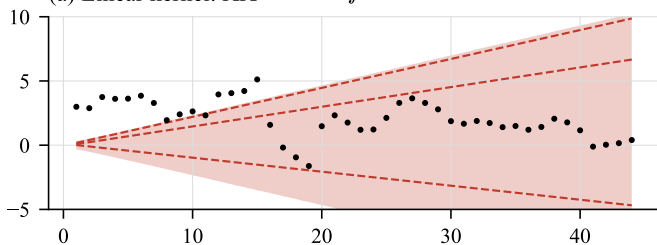


Effect of κ on the prior of f and the posterior $f|y$: inflation and a linear time trend

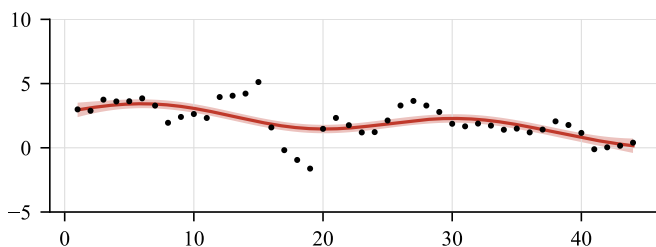
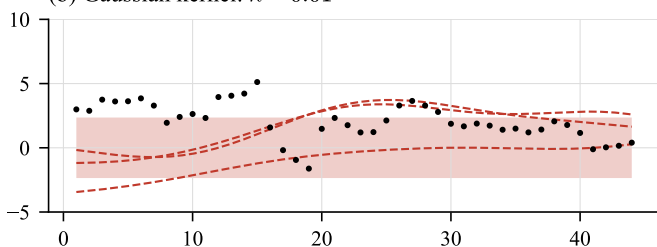
(a) Linear kernel: XX'

f

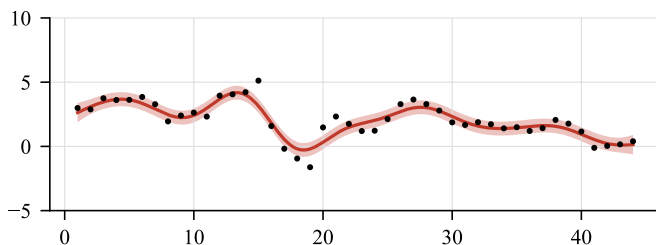
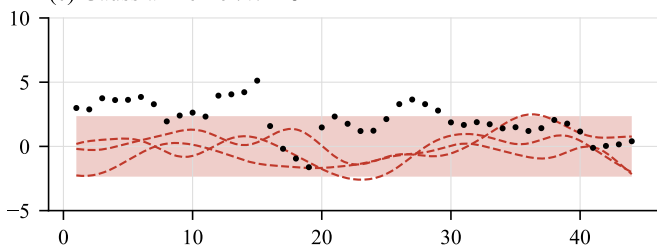
$f|y$



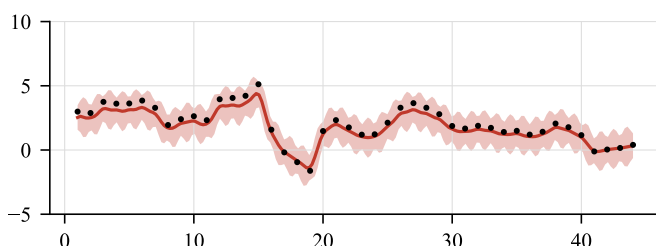
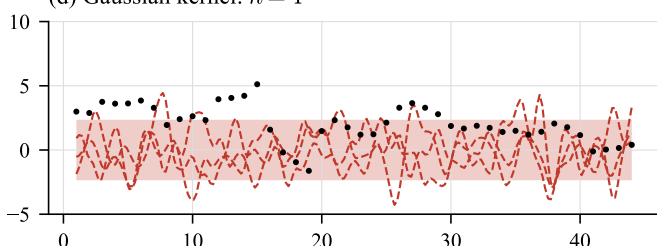
(b) Gaussian kernel: $\kappa = 0.01$



(c) Gaussian kernel: $\kappa = 0.1$



(d) Gaussian kernel: $\kappa = 4$



Linear time trend (quarters since 2005Q1)

Linear time trend (quarters since 2005Q1)